

Toward Self-Reliance:

Identifying Policy Intervention Points in Chicago's Nonprofit Theatre

Independent Study Report
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PART 01 INTRODUCTION

Statement of the Problem

The U.S. nonprofit theatre sector is experiencing severe instability across its entire revenue structure. While such structural vulnerability is evident throughout the broader arts and cultural sector, it is particularly pronounced within the theatre field.

According to national analyses by SMU DataArts, earned revenue, including ticket sales and program fees, declined by an average of 18 percent between 2023 and 2024, indicating that demand across the arts sector remains weakened in the post-pandemic period (SMU DataArts, 2025). In the theatre sector, this delayed recovery of earned revenue is even more pronounced. Theatre Facts 2023 reports that although ticket income increased by 94 percent compared to 2022, suggesting a short-term rebound, inflation-adjusted earned income remains approximately 25 percent below 2019 levels. This gap indicates that audience size and consumption patterns have not fully recovered since the pandemic and directly reflects the structural constraints facing the theatre industry. In other words, the recovery gap in theatre exceeds the overall decline in earned revenue observed across the arts sector of 18 percent.

Private contributions have also declined sharply. National arts data show that donations now account for only 59 percent of total unrestricted contributed revenue, the lowest level since 2019, and fell by 30 percent from 2023 to 2024. Although foundation giving temporarily increased in 2023, it declined by 25 percent in 2024, further intensifying the unpredictability of philanthropic support. These trends reflect the rapid contraction of pandemic-era relief funding that peaked in 2021, making it increasingly difficult for arts organizations to rely on traditional giving structures. Similar patterns are evident in the theatre sector. Theatre Facts 2023 reports that, following the withdrawal of pandemic relief funds, contributed revenue in theatre declined by 15 percent year over year in 2023. Foundation support has become increasingly volatile, significantly undermining long-term

financial predictability.

Public funding also faces structural limitations. In the United States, public support for the arts constitutes a relatively small share of total revenue and has repeatedly faced threats of elimination due to political shifts. According to Americans for the Arts, the National Endowment for the Arts received proposed federal budgets of zero dollars for four consecutive years between 2017 and 2020. This history demonstrates that public arts funding is inherently unstable and ill suited to providing long-term financial security for nonprofit arts organizations.

At the same time, rising costs pose an even greater challenge. Theatre Facts 2023 highlights sharp increases in payroll and production expenses, with many theatre organizations reporting negative changes in unrestricted net assets. In other words, cost growth has outpaced revenue recovery, intensifying financial pressure across the sector.

Taken together, the U.S. nonprofit theatre industry faces overlapping structural pressures, including delayed recovery of earned revenue, sharp declines in private giving, instability in public funding, and rising fixed costs. Under these conditions, theatre organizations are increasingly unable to build stable and sustainable operating foundations using existing revenue models alone, posing a significant threat to the long-term sustainability of the theatre ecosystem as a whole.

Need for the Study

The financial vulnerability of the U.S. nonprofit theatre sector is a structural problem resulting from the convergence of delayed recovery in earned revenue, sharp declines in private giving, political instability in public funding, and persistent cost increases. Despite the severity of this crisis, public discourse and policy responses have largely remained focused on short-term measures such as opposing budget cuts or securing emergency relief funds. As a result, policy questions regarding how governments should intervene to

strengthen the long-term sustainability of theatre organizations remain insufficiently articulated. This study begins from this gap and seeks to empirically identify policy intervention points that can support the financial self-reliance of nonprofit theatre organizations.

The political and fiscal vulnerability of public arts funding is not a recent or exceptional phenomenon. As early as the Reagan administration in the early 1980s, large-scale federal budget cuts targeting the arts, including the National Endowment for the Arts, were actively debated, placing concerns from the arts sector at the center of public discourse (DiMaggio, 1983). Similar legislative debates reemerged in the mid-1990s, when substantial reductions and proposals to eliminate the NEA reignited controversy. During this period, public support for the arts became not merely a budgetary issue but a focal point of political and ideological conflict surrounding cultural elitism, freedom of expression, and the public value of the arts (Best, 1995). These historical cases demonstrate that instability in public arts funding reflects structural conditions inherent to the policy domain rather than episodic crises.

Despite this recurring politicization and instability, policy discussions have often concentrated on whether to maintain or reduce funding levels. Consequently, relatively little attention has been paid to how public policy should interact with the operational structures and revenue bases of arts organizations in order to support long-term sustainability. This study challenges this limitation by shifting the focus beyond short-term fiscal defense toward identifying structural intervention points that should be considered at the level of policy design.

Existing scholarship has addressed policy responses to the instability of public arts funding. Wilkerson (2012) argues that public arts financing in the United States relies excessively on congressional appropriations and tax incentives, producing recurring political and institutional instability. As an alternative, he proposes a new public funding model based on user fees, highlighting the structural weaknesses of existing public

revenue mechanisms. However, such discussions primarily focus on the sources of public funding, while offering limited empirical analysis of how these resources should function within arts organizations to strengthen their operational structures and earned-revenue capacity.

Accordingly, identifying structural differences within the theatre sector and analyzing them empirically constitutes a critical starting point for policy design. Examining which organizations face greater financial risk based on revenue structure type, how operational capacity influences earned revenue, and what roles factors such as space access or non-performance programming play can directly inform policy resource allocation and program design.

Chicago provides an appropriate case for analyzing these structural issues at the local level. The city is home to a wide range of large, mid-sized, and small theatre organizations, and national trends such as post-pandemic financial pressure, constraints on space use, and audience decline are clearly observable within the local context. Moreover, this study employs a mixed-methods approach that includes exploratory interviews, and Chicago offers practical and research advantages in terms of access to field practitioners. For these reasons, this study uses Chicago as a case to examine the relationships among revenue structure, financial performance, and operational characteristics in nonprofit theatre organizations, moving beyond fragmented discussions to offer empirically grounded insights for policy intervention.

Research Questions

This study aims to explore how the financial self-reliance of nonprofit theatre organizations in Chicago can be supported through public policy. To this end, the study is guided by the following central research question.

RQ0. How can policy interventions support the financial self-reliance of Chicago's

nonprofit theatres?

This overarching question serves as the organizing framework for the entire analysis. The study seeks to empirically examine the relationships among revenue structures, financial outcomes, and operational characteristics of nonprofit theatre organizations in Chicago, and, based on these findings, to identify policy intervention points through which government and the public sector can play a supportive role.

To examine this central question in a more structured manner, the study formulates three sub-questions.

RQ1. How can revenue structures be categorized among Chicago's nonprofit theatres?

The first research question aims to classify the revenue structures of Chicago's nonprofit theatre organizations into contribution-led, earned-led, and mixed types. By analyzing the distribution of these categories, the study seeks to diagnose the current financial foundations and structural characteristics of the Chicago theatre ecosystem.

RQ2. How do financial outcomes differ across these revenue types?

The second research question examines how financial outcomes vary by revenue structure type. Specifically, the study uses the deficit ratio as a key indicator to compare and assess the relationship between contribution-dependent revenue structures and financial vulnerability, with the goal of identifying differences in financial stability across revenue types.

RQ3. How do operational characteristics affect earned-revenue generation?

The third research question analyzes how organizational and operational characteristics influence earned-revenue generation. By examining the relationships between earned revenue levels and factors such as personnel capacity, venue ownership, and the provision of non-performance programs, the study explores potential policy intervention points at the operational level that could strengthen the earned-revenue capacity and overall self-reliance of nonprofit theatre organizations.

PART 02 EXPLORATORY INQUIRY

Purpose of the Exploratory Inquiry

This exploratory inquiry was conducted to identify the structural financial and operational constraints faced by nonprofit theatre organizations in Chicago and to inform the research design and analytical focus of the subsequent quantitative analysis. The purpose of this inquiry is to diagnose the structural conditions surrounding financial self-reliance by identifying recurring patterns of challenges and constraints observed across theatre organizations.

In particular, the exploratory inquiry focuses on identifying the common limitations that theatre organizations encounter when attempting to expand earned revenue, the ways in which revenue volatility creates operational pressure, and how organizational factors such as personnel capacity, space access, and program structure function as constraints on financial sustainability. This inquiry serves as a preliminary step to situate policy concerns raised in the existing literature within the field context and to more concretely identify potential points of policy intervention.

Rather than presenting independent findings, this exploratory inquiry functions to support the quantitative analysis by guiding variable selection, refining research questions, and providing contextual grounding for the interpretation of empirical results.

Methods

This exploratory inquiry was conducted to identify recurring constraints related to the financial and operational structures of nonprofit theatre organizations in Chicago. Research participants were selected based on the following three criteria:

- (i) the organization was geographically based in Chicago;
- (ii) the organization was classified as a nonprofit entity; and

(iii) the organization was classified as a theatre organization within the performing arts field, such as those categorized under NTEE A65.

Participants were recruited through professional network referrals, a strategy chosen to ensure access to individuals with substantive operational experience relevant to the research topic. Interviews were conducted over a two-week period from October 16 to October 31, 2025, and a total of five Chicago-based nonprofit theatre organizations participated in the study (see Table 1 for an overview of participating organizations). Each interview lasted approximately 30 to 60 minutes.

The interviews consisted of seven open-ended questions. The interview protocol was designed to elicit participants’ perspectives on organizational revenue structures, earned-revenue generation strategies, reliance on public and private contributions, operational characteristics including personnel, space, and programming, and perceptions of financial sustainability. The full list of interview questions is provided in Table 2.

Data analysis was conducted using a pattern-based thematic analysis approach. Interview transcripts were reviewed iteratively to identify commonly referenced issues, structural constraints, and shared operational patterns across organizations.

Table 1. Overview of Interviewed Organizations

Org ID	Org Size	Venue Type	Staff Size	Additional Programs
Theatre A	Large	Own	Large	Yes
Theatre B	Mid	Own	Medium	Yes
Theatre C	Small	Rental	Small	No
Theatre D	Large	Own	Large	Yes
Theatre E	Small	Rental	Very Small	Yes

Table 2. Interview Question Guide

Section	Topic	Interview Question
Core Questions	Current Revenue Structure	Could you describe your organization's current revenue structure in terms of contributed revenue (public and private) and earned revenue?
	Dependence on Public Funding	To what extent does your organization currently rely on public funding, and how critical is it for your financial sustainability?
	Impact of Funding Cuts	If public funding were significantly reduced or eliminated, what areas of your organization (e.g., programming, staffing, outreach) would be most affected?
	Transition to Earned Revenue	What opportunities and challenges do you see in increasing earned revenue as a larger share of your budget?
	Policy Support	From your perspective, what kinds of policy measures or supports would be most helpful in enabling your organization to sustain itself with less reliance on public funding?
Operational Factors	Venue Use (Own)	What are the financial challenges of maintaining your own venue, and what opportunities does it create for earned revenue (e.g., rentals, events)?
	Venue Use (Rental)	How does reliance on rental spaces affect your ability to secure stable revenue and long-term sustainability?
	Additional Programs (With)	How do educational or community programs contribute to your revenue structure and funding opportunities?
	Additional Programs (Without)	What challenges do you face in diversifying revenue without large-scale education or outreach programs?

Findings

a. Revenue instability across all streams

Exploratory interviews indicate that nonprofit theatre organizations in Chicago experience simultaneous instability across all major revenue streams, including earned revenue, private contributions, and public funding. Earned revenue is structurally constrained by physical limits such as seating capacity and the number of performances. In the post-pandemic period, audience purchasing behavior has shifted from subscription-based models toward single-ticket and last-minute purchases, substantially reducing revenue predictability. One respondent noted that audiences often purchase tickets only shortly before performances, making advance planning difficult. Increased competition from other leisure options such as streaming platforms, films, and concerts has further limited theatres' ability to improve revenue through ticket price increases alone.

Private giving was also characterized by low sustainability due to donor fatigue and shifting priorities among foundations and corporate funders. Smaller organizations, in particular, face heightened risk because their donor networks are narrow, meaning that changes affecting one or two funders can destabilize the entire organization. Public funding accounted for a very small share of total budgets, typically between one and three percent, and was largely project-based, limiting its contribution to long-term financial stability. As one organization explained, annual variation in public funding made it difficult to engage in long-term planning. Taken together, these findings indicate that nonprofit theatres operate within a layered structure of vulnerability, in which no single revenue stream provides a stable financial foundation.

b. Capacity shortages as a binding constraint on earned-revenue generation

Across interviews, the most consistently identified structural constraint was chronic shortages in personnel and organizational capacity. Many organizations maintained minimal staffing levels following the pandemic, with a small number of staff responsible for marketing, donor relations, ticketing, and administrative tasks simultaneously. One

respondent emphasized that core staff members routinely perform multiple roles, underscoring how capacity limitations restrict long-term organizational growth. These shortages were not simply a matter of headcount, but functioned as a binding constraint on the organization's ability to perform core activities required for expanding earned revenue. Activities such as audience development, marketing, and long-term strategic planning, which are directly linked to revenue diversification and growth, were frequently underdeveloped due to limited capacity.

c. Space access as an operational risk factor

Physical space emerged as a critical factor shaping operational stability. Organizations without dedicated venues faced rising rental costs and limited space availability, making it difficult to plan performance schedules and programs consistently. Conversely, organizations that owned or controlled their own spaces encountered different constraints, including maintenance expenses and high fixed costs. Importantly, regardless of ownership status, space-related issues functioned as a financial and operational risk factor. This finding suggests that space access should be understood not merely as an asset-related issue, but as an operational condition with direct policy relevance.

d. Under-resourcing of non-performance programs

Non-performance programs, such as education and community engagement initiatives, were widely recognized as strategically important for donor development and long-term audience cultivation. However, most organizations reported that these programs were under-resourced in terms of staffing and funding. Many individual and foundation donors place value not only on artistic output, but also on the broader social impact generated by theatre organizations, and non-performance programs serve as a key mechanism for demonstrating this value. As one respondent noted, while these programs do not generate direct revenue, they play a critical role in communicating organizational mission and social value to funders. Educational programs were also viewed as essential for cultivating future audiences and supporting long-term self-reliance. Despite their strategic importance, short-term operational pressures significantly constrained organizations' ability

to sustain or expand these programs.

These exploratory findings informed the selection of key variables and the analytical focus of the quantitative analysis in Part III, ensuring that the statistical models reflect the structural constraints observed in practice.

PART 03 QUANTITATIVE ANALYSIS

Purpose of the Quantitative Analysis

The purpose of this quantitative analysis is to empirically test the structural patterns identified through the exploratory inquiry and to examine how revenue structures and operational characteristics are associated with financial outcomes among nonprofit theatre organizations in Chicago. Using organization-level financial and operational data, the analysis compares systematic differences in financial performance across revenue structure types and identifies operational factors associated with relatively stronger earned-revenue capacity.

The findings from this analysis aim to provide empirical evidence that extends beyond organization-specific management strategies and instead highlights policy-relevant intervention points through which the public sector can support the financial self-reliance of nonprofit theatre organizations.

Methods

a. Data Source

This study is based on data from the Cultural Data Profile (CDP), a database managed by SMU DataArts. The CDP compiles standardized financial and operational information voluntarily reported by nonprofit arts and cultural organizations across the United States. The dataset includes comprehensive organization-level data such as annual revenue and expense structures, staffing levels, and programmatic activities. CDP data are among the most widely used administrative data sources for analyzing the financial structures of nonprofit arts and cultural organizations in the United States.

b. Sample Construction

The quantitative analysis sample was restricted to organizations that met all of the

following criteria:

- (i) geographic location in Chicago;
- (ii) classification as a nonprofit arts and cultural organization; and
- (iii) artistic discipline classified as Theatre or NTEE code A65.

For organizations with multiple fiscal years available in the dataset, only the most recent fiscal year was retained. Organizations with missing values or clear reporting errors in key financial variables, such as operating revenue or total expenses, were excluded from the analysis. Applying these criteria resulted in a final analytic sample of 69 nonprofit theatre organizations based in Chicago.

c. Variable Measurement and Coding

Variables used in the quantitative analysis were organized into three categories: revenue structure, financial outcomes, and operational characteristics. All continuous variables were converted to numeric form prior to analysis. For variables indicating organizational activities, such as the presence of non-performance programs, missing values were recoded as zero when the absence of the activity was substantively meaningful. This approach was used to distinguish between the nonexistence of an activity and missing data due to nonreporting. Detailed definitions and coding rules for all variables are presented in Table 3.

(i) Revenue Variables and Classification

Operating earned revenue includes market-based operating income such as ticket sales, program and workshop fees, and space rental income. Total contributed support was constructed as the sum of government support (supp_gov_total) and private contributions (total_private_support).

(ii) Financial Outcome Variable

Financial performance was measured using the deficit ratio, which captures the extent of

financial pressure relative to operating revenue. The deficit ratio was defined as (total expenses minus operating revenue) divided by operating revenue. This ratio-based measure was used to reduce distortions arising from absolute size differences across organizations. Values closer to zero indicate a more balanced financial position, while more negative values indicate greater financial stress.

(iii) Operational Variables

Three operational characteristics were included in the analysis:

- Personnel: total personnel expenses (w2_total_personnel)
- Space ownership or access: whether the organization owns or uses donated space (own_space_yn; 1 = owned or in-kind space, 0 = fully rented)
- Non-performance programs: number of education or community programs offered (non_performance_programs)

Table 3. Measurement and Coding of Key Variables

Variable Name	Description
organizations_id	Unique organization ID
organizations_name	Organization name
fiscal_year	Most recent fiscal year
total_earned_revenue_operating	Operating earned revenue (ticket sales, programs, etc.)
total_support	Total contributed revenue (public + private)
supp_gov_total	Government support (city + state + federal)
total_private_support	Private support (individual + corporate + foundation)
deficit_ratio	(Total expenses - operating revenue) ÷ operating revenue
w2_total_personnel	Personnel expenses (staffing cost)
own_space_yn	Space owned or donated/in-kind (1 = yes, 0 = no)
rent_space_yn	Space rented (1 = yes, 0 = no)
non_performance_programs	Number of non-performance programs

d. Analytical Approach

The quantitative analysis was structured as a three-stage analytical procedure aligned with the research questions.

RQ1. Revenue Structure Descriptive Analysis

To identify the distribution of revenue structure types, the frequencies and proportions of earned-led, contribution-led, and mixed organizations were calculated. This descriptive analysis provides an overview of the prevailing revenue structure patterns among nonprofit theatre organizations in Chicago.

Organizations were defined as earned-led if operating earned revenue exceeded total contributed support by at least 10 percent. Organizations were classified as contribution-led if total contributed support exceeded earned revenue by at least 10 percent. Organizations for which the difference between the two revenue sources fell within plus or minus 10 percent were classified as mixed. The 10 percent threshold was chosen to reflect the minimum difference at which one revenue source can reasonably be interpreted as structurally dominant in organizational operations.

In addition, contribution-led organizations were further disaggregated into government-dependent and private-dependent subtypes based on the composition of contributed support. This refinement was introduced to move beyond a simple earned versus contributed dichotomy and to more precisely identify the type of external funding on which organizations are structurally dependent.

RQ2. Financial Outcome Comparison

To examine differences in financial outcomes across revenue structure types, the distributions of deficit ratios were compared. Given the highly skewed nature of this indicator, interpretation focused on medians and interquartile ranges rather than means.

RQ3. Regression Analysis

To explore the association between operational characteristics and earned-revenue capacity, linear regression analysis was conducted. The earned-revenue ratio was specified as the dependent variable, and personnel expenses, space ownership, and the number of non-performance programs were included as key independent variables. Results were interpreted primarily in terms of the magnitude and direction of standardized coefficients (β) and their 95 percent confidence intervals. This regression analysis is not intended to establish causal relationships, but rather to examine structural associations between operational characteristics and earned-revenue generation.

Findings

a. Chicago theatres are predominantly contribution-led, with private contributions exceeding government funding

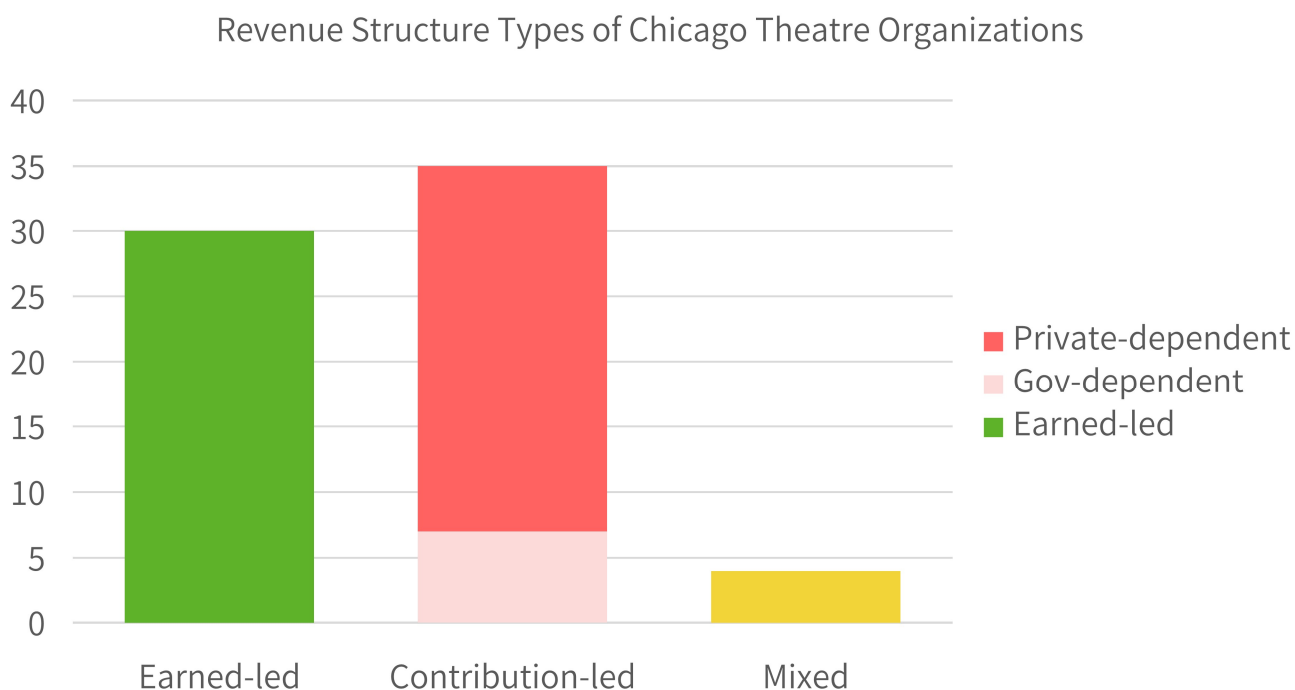


Figure 1. Revenue Structure Types of Chicago Theatre Organization

As shown in Figure 1, the revenue structures of Chicago nonprofit theatres are

predominantly contribution-led. Of the 69 organizations in the sample, 35 were classified as contribution-led, 30 as earned-led, and only 4 as mixed, with earned and contributed revenues accounting for similar shares. This distribution indicates that the majority of Chicago theatre organizations operate with a greater reliance on donations and subsidies than on ticket sales or program-generated income.

Further disaggregation of contribution-led organizations reveals that most rely more heavily on private contributions than on public funding. Public support typically accounted for only one to three percent of organizational budgets and was most often provided on a project-specific basis. In contrast, private contributions frequently constituted a substantially larger share of annual operating budgets.

b. Contribution-led theatres exhibit higher deficit ratios than earned-led theatres

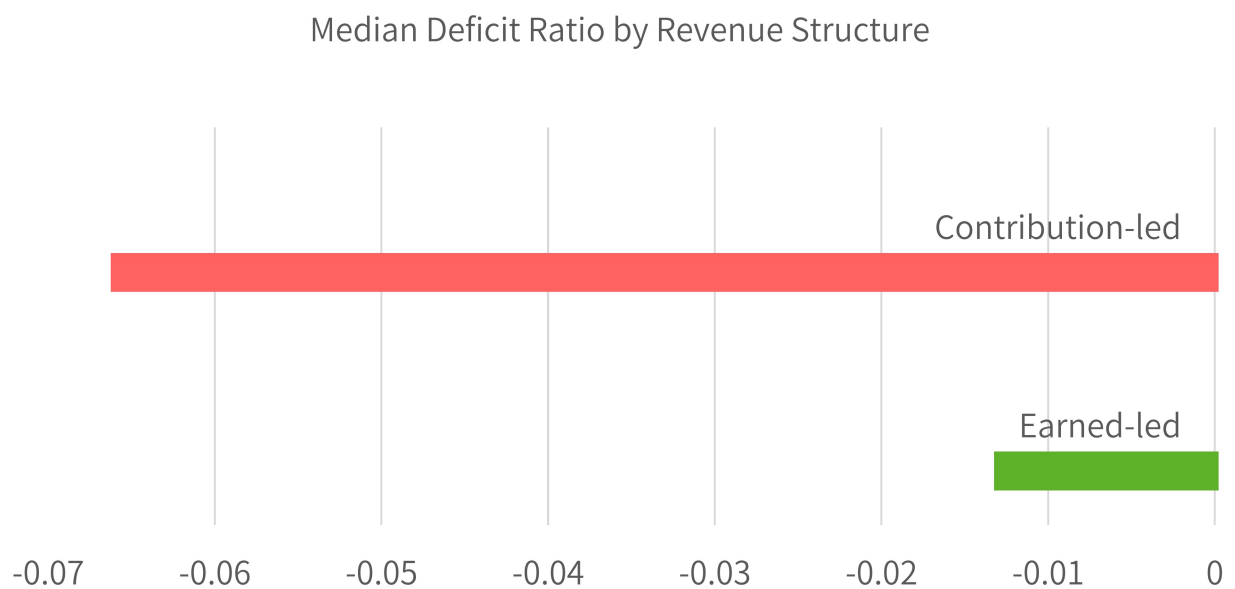


Figure 2. Median Deficit Ratio by Revenue Structure

Figure 2 illustrates that contribution-led theatres exhibit higher deficit ratios than earned-led theatres. Because deficit ratios are expressed as negative values when

expenses exceed operating revenue, more negative values indicate greater financial stress. The median deficit ratio for earned-led organizations was -0.013 , indicating a financial position relatively close to balance between operating revenue and expenses. In contrast, contribution-led theatres recorded a median deficit ratio of -0.066 , reflecting substantially deeper operating deficits. Mixed organizations displayed a similar median deficit ratio of -0.068 .

Examination of the distribution further shows that the first quartile (Q1) of the deficit ratio for contribution-led theatres was approximately -0.244 , indicating that a substantial share of organizations in this group experienced comparatively large deficits relative to operating revenue. Earned-led organizations, by contrast, exhibited a narrower distribution of deficit ratios clustered more closely around zero.

c. Personnel expenditure is positively associated with earned revenue, while space ownership and non-performance programs are not



Figure 3. Standardized Effects on Earned Revenue

Regression results summarized in Figure 3 indicate that personnel expenditure is positively associated with earned revenue. The standardized coefficient for personnel expenses was relatively large and positive compared to the other variables, and its confidence interval lay entirely above zero. By contrast, space ownership or access, as measured by `own_space_yn`, did not exhibit a statistically meaningful relationship with earned revenue. No significant difference in earned-revenue levels was observed between organizations that owned or used donated space and those that operated through fully rented venues.

Similarly, the number of non-performance programs showed no clear association with earned revenue. Organizations offering a larger number of education or community programs did not, on average, generate higher levels of earned revenue than those with fewer such programs.

PART 04 CONCLUSION

Policy Implications

The findings of this study demonstrate that the financial vulnerability faced by nonprofit theatre organizations in Chicago is shaped by structural conditions in which internal organizational capacity and revenue structures dependent on external funding interact. In particular, the quantitative analysis identifies investment in personnel as the only operational characteristic directly associated with higher earned-revenue capacity. This suggests that financial self-reliance in nonprofit theatres depends less on the physical scale of production or the expansion of program offerings, and more on whether organizations possess the capacity to carry out revenue generation, audience development, donor relations, and administrative operations. These results empirically challenge policy approaches that emphasize revenue diversification or program expansion without addressing underlying organizational capacity, showing that such strategies are unlikely to translate into meaningful gains in financial self-reliance in the absence of sufficient capacity.

From this perspective, capacity-related domains represent the policy intervention points most directly connected to strengthening self-reliance. The positive association between personnel expenditure and earned revenue indicates that investment in staff should not be understood merely as a cost, but as a precondition for restructuring revenue models and executing organizational strategies. This finding aligns with the reality that developing new audiences, adjusting ticketing strategies, maintaining and expanding donor relationships, and engaging in medium- to long-term financial planning all require a minimum level of human resources. When policy interventions focus narrowly on discrete programs or project-based outputs without accounting for organizational capacity, they risk structurally constraining the transition toward greater financial self-reliance.

At the same time, the finding that contribution-led theatres experience higher deficit

ratios than earned-led organizations illustrates how revenue structure interacts with the accumulation of organizational capacity. Structural dependence on private contributions exposes organizations to fluctuations in external funding environments, creating persistent threats to staffing stability and long-term strategic planning. In this sense, stabilizing revenue structures should be understood not as a policy tool for directly increasing earned revenue, but as a structural condition that enables the maintenance and accumulation of organizational capacity. Revenue structure thus functions simultaneously as both an outcome of, and a precondition for, transitions toward financial self-reliance.

While space access and non-performance programs did not show a direct association with earned revenue in the quantitative analysis, this does not imply that these factors are unimportant. Rather, it suggests that their connection to financial self-reliance operates through indirect mechanisms. As repeatedly observed in the qualitative findings, access to space affects the stability of performance schedules, production environments, and the continuity of community engagement. However, without adequate staffing and organizational capacity, these conditions are unlikely to translate into increased earned revenue or improved financial stability. Similarly, non-performance programs contribute to long-term sustainability through donor development, articulation of social value, and cultivation of future audiences, rather than through immediate revenue generation.

Taken together, this study demonstrates that policy discussions surrounding the transition toward financial self-reliance among nonprofit theatre organizations cannot rely on singular policy instruments or universal solutions. Instead, it is necessary to structurally identify how organizational capacity, revenue structure, space access, and non-performance programming connect to financial self-reliance in distinct ways and over different time horizons. Rather than prescribing normative answers about what policy should prioritize, the central policy contribution of this study lies in clarifying the conditions and points at which policy interventions are most likely to operate effectively.

Limitations

This study provides a multi-layered analysis of the financial structures and operational characteristics of nonprofit theatre organizations in Chicago, but it is subject to several limitations. First, because the analysis is based on cross-sectional data, it cannot assess pre- and post-pandemic changes, long-term trends in revenue structures, or temporal causal relationships. Second, the SMU DataArts dataset relies on self-reported information, and reporting practices and accuracy may vary across organizations. As a result, some operational dimensions may not be fully captured through quantitative measures. Third, the analytic sample is limited to Theatre organizations classified under NTEE A65 and based in Chicago, which warrants caution in generalizing the findings to other cities or to other performing arts disciplines. Fourth, while the qualitative interviews with five organizations were valuable for identifying key patterns and constraints, they cannot be considered fully representative of the broader Chicago theatre ecosystem.

Given these limitations, the findings of this study offer important insights into structural tendencies, but their interpretation and application to policy design should be approached with appropriate caution.

Directions for Future Research

First, future research should examine how the revenue structures of nonprofit theatre organizations evolve over time and how such shifts are linked to internal decision-making processes and changes in operational strategies. In particular, studies that track whether pathways from contribution-led structures to mixed or earned-led models actually exist, and under what conditions such transitions become possible, would contribute to understanding financial self-reliance not as a static state but as a dynamic process.

Second, the role of organizational capacity, which emerged as a central factor in this study, warrants more fine-grained analysis. Future research could move beyond quantitative measures of staffing levels to examine qualitative dimensions such as

functional specialization, decision-making structures, and strategic planning capacity, and how these elements relate to earned-revenue generation. Such work would contribute to conceptualizing capacity not merely as a cost category, but as an organization's ability to execute strategy.

Third, space access and non-performance programs should be examined through a more process-oriented lens. Although this study found no direct association between these factors and earned revenue, the findings suggest that their relevance may lie in long-term organizational strategies rather than short-term financial outcomes. Future studies could analyze how space utilization practices and non-performance programs influence financial structures through intermediate mechanisms such as audience relationship building, donor trust, and organizational identity formation.

Beyond the theatre sector, the analytical framework developed in this study can be extended to other performing arts disciplines and nonprofit cultural fields. Comparative research across genres could help determine whether challenges related to financial self-reliance are specific to theatre or reflect structural conditions shared more broadly across nonprofit arts organizations.

Finally, future research could build on the policy intervention points identified in this study by linking them more directly to policy design. For example, modeling or simulation-based studies that examine how interventions such as capacity building, revenue structure stabilization, and improved access to space operate independently or in combination could provide a more empirically grounded basis for policy discussions. Such research would help clarify how policies aimed at supporting financial self-reliance can move beyond short-term performance-oriented solutions to foster long-term structural change within nonprofit arts organizations.

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